

Appendix: Anatomy of the “No-Cost” Insurance Trap

POLICY DETAILS					BANK LOAN DETAILS			INVESTMENT DETAIL				IFA		Potential Collateral Shortfall	ABI vs IFA		
Year	Year/Age	Annual Premium/Deposit	Total Cash Value	Total Death Benefit	Loan Advances	Annual Interest Payable	Loan Balance	Bank Loan Rate	Loan Interest Tax Recovery	NCPI Tax Recovery	Net Interest Cost	Net Annual Cost	Death Proceeds Net of Loan	Estate Value of Unused CDA	Net Available to Estate (incl CDA)	Additional IFA Net Benefit	
[A]	[B]	[C]	[D]	[E]	[F]	[G] Interest on [H]	[H]	[I]	[J] Annual Interest *26.50%	[K] NCPI * (Loan Balance/DB)*26.5%	[L] [G]-[J]-[K]	[M] [C]-[F]+[G]-[J]-[K]	[N] [E]-[H]	[O] 39.34% *Unused CDA	[P] 39.34% *Unused CDA + after-tax net DB	[Q] [H]-100%*[D]	[R]
1	1 30	200,000	123,156	4,748,556	200,000	10,500	207,694	5.25%	2,783	23	7,694	0	4,540,861	3,812	4,544,673	84,539	4,423,353
2	2 31	200,000	297,002	5,205,428	200,000	21,404	423,371	5.25%	5,672	56	15,676	0	4,782,057	10,996	4,793,053	126,369	4,550,413
3	3 32	200,000	468,974	5,709,626	200,000	32,727	647,331	5.25%	8,673	94	23,960	0	5,062,295	21,653	5,083,947	178,357	4,719,987
4	4 33	200,000	671,119	6,261,782	200,000	44,485	879,886	5.25%	11,788	141	32,555	0	5,381,896	35,954	5,417,498	208,767	4,932,569
5	5 34	200,000	888,804	6,844,229	200,000	56,694	1,121,362	5.25%	15,024	194	41,476	0	5,722,867	54,031	5,776,898	232,558	5,170,298
6	6 35	200,000	1,124,493	7,464,364	200,000	69,371	1,372,102	5.25%	18,383	248	50,740	0	6,092,262	75,996	6,168,258	247,608	5,440,338
7	7 36	200,000	1,379,560	8,123,077	200,000	82,535	1,632,461	5.25%	21,872	304	60,360	0	6,490,616	101,984	6,592,600	252,902	5,743,360
8	8 37	200,000	1,654,025	8,814,547	200,000	96,204	1,902,812	5.25%	25,494	359	70,351	0	6,911,735	132,131	7,043,866	248,788	6,073,306
9	9 38	200,000	1,944,848	9,519,295	200,000	110,398	2,183,541	5.25%	29,255	414	80,728	0	7,335,755	166,567	7,502,322	238,692	6,410,442
10	10 39	200,000	2,252,876	10,237,504	200,000	125,136	2,475,030	5.25%	33,161	486	91,489	0	7,762,475	205,544	7,968,018	222,154	6,754,818
11	11 40	200,000	2,579,037	10,969,380	200,000	140,439	2,777,683	5.25%	37,216	570	102,653	0	8,191,698	249,266	8,440,964	198,646	7,106,444
12	12 41	200,000	2,924,316	11,715,134	200,000	156,328	3,091,912	5.25%	41,427	672	114,229	0	8,623,222	297,985	8,921,207	167,596	7,465,367
13	13 42	200,000	3,289,639	12,474,998	200,000	172,825	3,418,134	5.25%	45,799	804	126,223	0	9,056,864	351,998	9,408,861	128,493	7,831,701
14	14 43	200,000	3,604,665	13,245,358	200,000	189,952	3,756,779	5.25%	50,337	970	138,645	0	9,488,579	411,617	9,900,197	152,115	8,201,717
15	15 44	200,000	3,927,264	14,021,552	200,000	207,731	4,108,302	5.25%	55,049	1,159	151,523	0	9,913,250	477,099	10,390,349	181,038	8,570,549
16	16 45	200,000	4,267,854	14,803,328	200,000	226,186	4,473,168	5.25%	59,939	1,381	164,866	0	10,330,160	548,742	10,878,902	205,314	8,937,782
17	17 46	200,000	4,627,328	15,591,070	200,000	245,341	4,851,899	5.25%	65,015	1,595	178,731	0	10,739,171	626,662	11,365,833	224,572	9,303,393
18	18 47	200,000	5,006,875	16,385,145	200,000	265,225	5,244,997	5.25%	70,285	1,842	193,098	0	11,140,147	711,168	11,851,316	238,122	9,667,556
19	19 48	200,000	5,409,508	17,192,700	200,000	285,862	5,652,980	5.25%	75,754	2,126	207,983	0	11,539,719	802,587	12,342,306	243,473	10,037,226
20	20 49	200,000	5,836,603	18,014,268	200,000	307,281	6,076,394	5.25%	81,430	2,439	223,413	0	11,937,874	901,211	12,839,085	239,790	10,412,685
21	21 50	0	6,226,117	18,653,176	0	319,011	6,310,866	5.25%	84,538	0	234,473	0	12,342,310	1,005,368	13,347,678	84,750	10,921,278
22	22 51	0	6,639,260	19,308,206	0	331,320	6,554,387	5.25%	87,800	0	243,521	0	12,753,819	1,114,443	13,868,262	0	11,441,862
23	23 52	0	7,077,425	19,979,721	0	344,105	6,807,304	5.25%	91,188	0	252,917	0	13,172,417	1,228,747	14,401,164	0	11,974,764
24	24 53	0	7,541,893	20,668,104	0	357,383	7,069,981	5.25%	94,707	0	262,677	0	13,598,123	1,348,602	14,946,725	0	12,520,325
25	25 54	0	8,034,017	21,373,747	0	371,174	7,342,794	5.25%	98,361	0	272,813	0	14,030,953	1,474,333	15,505,286	0	13,078,886
26	26 55	0	8,555,225	22,097,051	0	385,497	7,626,134	5.25%	102,157	0	283,340	0	14,470,917	1,606,276	16,077,193	0	13,650,793
27	27 56	0	9,106,850	22,838,432	0	400,372	7,920,408	5.25%	106,099	0	294,273	0	14,918,024	1,744,924	16,662,948	0	14,236,548
28	28 57	0	9,690,232	23,598,317	0	415,821	8,226,036	5.25%	110,193	0	305,629	0	15,372,280	1,890,675	17,262,955	0	14,836,555
29	29 58	0	10,306,528	24,377,155	0	431,867	8,543,459	5.25%	114,445	0	317,422	0	15,833,696	2,043,984	17,877,681	0	15,451,281
30	30 59	0	10,957,015	25,175,399	0	448,532	8,873,129	5.25%	118,861	0	329,671	0	16,302,720	2,205,416	18,507,686	0	16,081,286
31	31 60	0	11,642,904	25,993,514	0	465,839	9,215,521	5.25%	123,447	0	342,392	0	16,777,993	2,375,591	19,153,584	0	16,727,184
32	32 61	0	12,365,105	26,831,983	0	483,815	9,571,125	5.25%	128,211	0	355,604	0	17,260,858	2,555,131	19,815,989	0	17,389,589
33	33 62	0	13,124,405	27,691,302	0	502,484	9,940,451	5.25%	133,158	0	369,326	0	17,750,851	2,744,765	20,495,617	0	18,069,217
34	34 63	0	13,921,733	28,571,969	0	521,874	10,324,028	5.25%	138,297	0	383,577	0	18,247,941	2,945,269	21,193,210	0	18,766,810
35	35 64	0	14,757,936	29,474,489	0	542,011	10,722,407	5.25%	143,633	0	398,378	0	18,752,082	3,157,467	21,909,550	0	19,483,150
36	36 65	0	15,633,891	30,399,373	0	562,926	11,136,157	5.25%	149,175	0	413,751	0	19,263,216	3,382,275	22,645,491	0	20,219,091
37	37 66	0	16,550,266	31,347,142	0	584,648	11,565,874	5.25%	154,932	0	429,716	0	19,781,268	3,620,699	23,401,967	0	20,975,567
38	38 67	0	17,507,903	32,318,315	0	607,208	12,012,172	5.25%	160,910	0	446,298	0	20,306,143	3,873,827	24,179,970	0	21,753,570
39	39 68	0	18,507,723	33,313,416	0	630,639	12,475,692	5.25%	167,119	0	463,520	0	20,837,724	4,142,822	24,980,547	0	22,554,147
40	40 69	0	19,550,638	34,332,974	0	654,974	12,957,097	5.25%	173,568	0	481,406	0	21,375,877	4,428,858	25,804,735	0	23,378,335
41	41 70	0	20,637,649	35,377,523	0	680,248	13,457,079	5.25%	180,266	0	499,982	0	21,920,444	4,733,270	26,653,714	0	24,227,314
42	42 71	0	21,769,781	36,447,603	0	706,497	13,976,355	5.25%	187,222	0	519,275	0	22,471,249	5,057,438	27,528,687	0	25,102,287
43	43 72	0	22,948,517	37,543,754	0	733,759	14,515,667	5.25%	194,446	0	539,313	0	23,028,086	5,402,721	28,430,808	0	26,004,408
44	44 73	0	24,169,457	38,666,400	0	762,073	15,075,790	5.25%	201,949	0	560,123	0	23,590,610	5,770,653	29,361,263	0	26,934,863
45	45 74	0	25,434,186	39,815,826	0	791,479	15,657,527	5.25%	209,742	0	581,737	0	24,158,299	6,159,671	30,317,970	0	27,891,570
46	46 75	0	26,750,211	40,992,466	0	822,020	16,261,712	5.25%	217,835	0	604,185	0	24,730,753	6,597,358	31,128,111	0	28,701,711
47	47 76	0	28,120,004	42,196,915	0	853,740	16,889,211	5.25%	226,241	0	627,499	0	25,307,704	6,644,216	31,951,919	0	29,525,519
48	48 77	0	29,546,324	43,429,792	0	886,684	17,540,924	5.25%	234,971	0	651,712	0	25,888,868	6,900,599	32,789,467	0	30,363,067
49	49 78	0	31,032,492	44,691,733	0	920,898	18,217,784	5.25%	244,038	0	676,806	0	26,473,950	7,166,876	33,640,826	0	31,214,426
50	50 79	0	32,582,333	45,983,405	0	956,434	18,920,763	5.25%	253,455	0	702,979	0	27,062,643	7,443,428	34,506,071	0	32,079,671
51	51 80	0	34,200,559	47,305,498	0	993,340	19,650,868	5.25%	263,235	0	730,105	0	27,654,631	7,730,651	35,385,282	0	32,958,882
52	52 81	0	35,892,835	48,658,739	0	1,031,671	20,409,145	5.25%	273,393	0	758,278	0	28,249,593	8,028,958	36,278,551	0	33,852,151
53	53 82	0	37,664,578	50,043,877	0	1,071,480	21,196,683	5.25%	283,942	0	787,538	0	28,847,194	8,338,775	37,185,969	0	34,759,569
54	54 83	0	39,504,275	51,461,971	0	1,112,826	22,014,610	5.25%	294,899	0	817,927	0	29,447,361	8,660,548	38,107,908	0	35,681,508
55	55 84	0	41,397,123	52,914,139	0	1,155,767	22,864,099	5.25%	306,278	0	849,489	0	30,050,040	8,994,737	39,044,777	0	36,618,377
56	56 85	0	43,339,982	54,401,311	0	1,200,365	23,746,368	5.25%	318,097	0	882,268	0	30,654,944	9,341,821	39,996,765	0	37,570,365
57	57 86	0	45,329,461	55,924,454	0	1,246,684	24,662,681	5.25%	330,371	0	916,313	0	31,261,773	9,702,299	40,964,072	0	38,537,672
58	58 87	0	47,362														